ANSWER
AA015 PRE PSPM KMP SESSION 2022/2023

QUESTION 1

i)

Limbungan Sdn Bhd
Bank Reconciliation Statement
As at 30 September 2020√

	RM	RM
Cash balance per bank statement		(255) √
(+) Deposit In Transit:		
Kedai Sintong		1,254√
		999
(-) Outstanding Cheques:		
No. 042354	(890) √	
No. 042356	(65) √	
No. 042357	(450) √	(1,405)
Adjusted Cash Balance Per bank		(406)
Cash balance per books		(1,333) √
(+) Dividend	600√	
Interest	343√	943
		(390)
(-) Bank Charge		(16) √
Adjusted Cash Balance Per Book		(406)

10√ x ½ = 5m

ii)

2020 Sept 30 √	Dr Bank Cr Dividend Revenue	600√	600√
	Dr Bank Cr Interest Revenue	343√	343√
	Dr Bank charges Cr Bank	16√	16√

7√ x ½ = 3.5m

ANSWER

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B i)

2021	Dr Accounts Receivable (255,000 x 60%) Cr Sales	153,000√	153,000√
	Dr Sales Returns and Allowances Cr Accounts Receivable	4,200√	4,200√
	Dr Cash Cr Accounts Receivable	172,500√	172,500√
	Dr Allowance for Doubtful Accounts Cr Accounts Receivable	900√	900√
Dec 31	Dr Bad Debt Expense Cr Allowance for Doubtful Accounts	408√	408√

10√ x ½ = 5m

ii)

Accounts Receivable

Balance b/f	42,600√	Sales return and allowances	4,200√
Sales	153,000√	Cash	172,500√
		Allowance for doubtful accounts	900√
		Balance c/f	18,000√
	195,600		195,600

Allowance For Doubtful Accounts

Accounts Receivable	900√	Balance b/f	852√
Balance c/f (18,000 x 2%)	360√√	Bad debt expense	408√
	1,260		1,260

11√ x ½ = 5.5m

iii)

Karimah Sdn. Bhd.
Statement of Financial Position (extracted)
as at 31 December 2021

	RM	RM
CURRENT ASSETS:		
Accounts Receivable	18,000√	
Allowance for Doubtful Accounts	(360) √	
Net Realisable Value		17,640

2√ x ½ = 1 m

QUESTION 2

(a)

i) Ending inventory units = (2,000 + 5,000 + 7,500 +,250) – (750 + 4,000 + 10,000)
= 17,750 √ - 14,750 √
= 3,000 units √

(3 x ½ = 1.5 marks)

ii) Cost of goods available for sales =

2,000 units	x RM5.00	=	RM10,000	√
5,000 units	x RM5.40	=	27,000	√
7,500 units	x RM5.50	=	41,250	√
3,250 units	x RM5.70	=	18,525	√
Total		=	96,775	√

(5 x ½ = 2.5 marks)

iii) Sales =

(750 units + 4,000 units + 10,000 units) √ x RM8.00 √ = RM118,000 √

(3 x ½ = 1.5 marks)

iv)

a) First in First Out (FIFO)

Ending inventory cost = 3,000 √ x RM5.70 √ = RM17,100

Cost of goods sold = RM96,775 – RM17,100 √
= RM79,675

Gross profit RM118,000 – RM79,675 √
= RM38,325

(4 x ½ = 2.0 marks)

b) First in First Out (LIFO)

Ending inventory cost = 2,000 √ x RM5.00 √ = RM10,000
1,000 √ x RM5.40 √ = RM5,400
RM15,400

Cost of goods sold = RM96,775 – RM15,400 √
= RM81,375

Gross profit RM118,000 – RM81,375 √
= RM36,625

(6 x ½ = 3.0 marks)

(b)

i) Moving average

Date	Purchase			Cost of goods sold			Balance		
	Units	RM	RM	Units	RM	RM	Units	RM	RM
2022 May 1							600	5.00	3,000 √
5	1,500	5.08	7,620 √				2,100	5.06 √	(3,000 + 7,620)/2,100
7				700	5.06	3,542 √	1,400	5.06	(10,620 – 3,542) = 7078 √
15	2,000	5.10	10,200 √				3,400	5.08 √	(7,078 + 10,200)/3,400
18				1,800	5.08	9,144 √	1,600	5.08	(17,278 – 9,144) = 8,134 √
21	700	5.20	3,640 √				2,300	5.12 √	(8,134 + 3,640)/2,300
29				1,250	5.12	6,400 √	1,050	5.12	(11,774 – 6,400) = 5,374
				Cost of goods sold = RM19,086 √			Ending inventory =RM5,374 √		

(14 x ½ = 7.0 marks)

ii)

Date	Account Titles and Explanation	Debit (RM)	Credit (RM)
May 18 √	Cost of goods sold Inventory (To record cost of goods sold)	9,144 √	 9,144 √
	Cash (1,800 x RM11.00) Sales (To record sales)	19,800 √	 19,800 √

(5 x ½ = 2.5 marks)

QUESTION 3

Mar 10	Dr. Building Cr. Cash / Bank	400,000 √	400,000 √
May 1 √	Dr. Equipment (40,000 √ + 20,000 √ + 800 √ + 1,000 √ + 150 √) Cr. Cash/ Bank	61,950@√√√√√	61,950 √
July 1 √	Dr. Accumulated Depreciation – Equipment (35,000 √ x 10% √ x 5 √) Loss on disposal Cr. Equipment	17,500@√√√ 17,500 √	35,000 √
Dec 31 √	Dr. Depreciation expense – Building [(10,000,000 √ + 400,000 √) x 2% √] Cr. Accumulated Depreciation – Building	208,000@√√√	208,000 √
	Dr. Depreciation expense – Equipment [(15,000,000 √ + 61,950 √ – 35,000 √) x 10% √] Cr. Accumulated Depreciation – Equipment	1,502,695@√√√√	1,502,695 √

(26√ x ½ = 13 marks)

(i)

Accumulated Depreciation – Building

31/12/21	c/f √	1,708,000√√	1/1/21	b/f √	1,500,000√
			31/12/21	Depreciation expense -Building √	208,000√
		1,708,000			1,708,000

(ii)

Accumulated Depreciation – Equipment

	Disposal	17,500			
31/12/21	c/f √	13,685,195√√	1/1/21	b/f √	12,200,000√
			31/12/21	Depreciation expense -Equipment √	1,502,695√
		13,702,695			13,702,695

(14√ x ½ = 7 marks)

QUESTION 4(a)

(i)

Date	Account titles and explanations	Debit (RM)	Credit (RM)
2020 April 1	Dr Bank Cr Notes Payable (To record notes payable)	200,000√	200,000√

(ii)

Date	Account titles and explanations	Debit (RM)	Credit (RM)
2020 June 30	Dr Interest expense (RM200,000 x 10% x 3/12) or Cr Interest payable (To record interest payable)	5,000√√√	5,000√

(iii)

Date	Account titles and explanations	Debit (RM)	Credit (RM)
2020 Sept 30	Dr Notes payable Interest payable Interest expense (RM200,000 x 10% x 3/12) or Cr Bank (To record payment for notes payable together with interest on maturity date)	200,000√ 5,000√ 5,000√√√	210,000√

[12√ x1 = 12 marks]

QUESTION 4(b)

4(b)(i)

Susan's Events Enterprise
Statement of Changes in Equity
For the year ended 31 December 2021✓

	RM
Capital, 1 January 2021	410,000* ✓✓✓
+ Net Profit	350,000 ✓
Additional investment / Owner's Contribution	150,000 ✓
	910,000
Less: Drawings	(110,000) ✓
Capital, 31 December 2021	800,000 ✓

*RM410,000 = RM200,000 + RM330,000 – RM120,000

(8 ✓ x ½ marks = 4 marks)

4(b)(ii)

Maison Company

Statement of Changes in Equity
For The Year Ended 31 December 2021✓
('000)

	Common Shares	Preference Shares	Retained Earnings	Total
Balance as at 31 Dec. 2020	120,000✓	80,000✓	35,000✓	235,000✓
Profit for the year			27,000✓	27,000✓
Shares issued	20,000*✓✓			20,000✓
Dividends			(2,000)** ✓✓✓	(2,000) ✓
Balance as at 31 Dec. 2021	140,000✓	80,000✓	60,000✓	280,000✓

*20,000,000 = (140,000,000 - 120,000,000)

2,000,000 = (35,000,000 + 27,000,000 – 60,000,000)(18 √ x ½ = 9 marks)**